

**CITY OF SANTA CLARITA
AGENDA REPORT**

CONSENT CALENDAR City Manager Approval: _____

Item to be presented by: Armine Chaparyan

DATE: August 23, 2011

SUBJECT: ADOPTION OF AN ENFORCEABLE OBLIGATION PAYMENT
SCHEDULE AS REQUIRED BY SECTION 34169 OF THE
HEALTH AND SAFETY CODE

DEPARTMENT: Community Development

RECOMMENDED ACTION

Redevelopment Agency Board adopt the attached Enforceable Obligation Payment Schedule (EOPS) and direct Agency Staff to comply with the reporting and posting requirements of the EOPS statute.

BACKGROUND

On June 29, 2011, as part of adopting the State of California Fiscal Year 2011-12 budget, the Governor signed two trailer bills: AB X1 26 ("Dissolution Act") and AB X1 27 ("Voluntary Alternative Redevelopment Program" or "VARP"), into law. The legislation became effective on June 29, 2011. The Dissolution Act eliminates redevelopment agencies as of October 1, 2011, and requires all agencies to adopt an Enforceable Obligations Payment Schedule ("EOPS") for payments to be made between October 1 and December 31. The Voluntary Alternative Redevelopment Program provides an opportunity for cities to voluntarily "opt-in" to a new statutory payment scheme that will allow their redevelopment agencies to continue to operate and function "upon the enactment of an ordinance enacted by the community to comply with this part on or before November 1, 2011". An opt-in ordinance under AB X1 27, if adopted by a City, would eliminate the requirement that its Agency adopt an EOPS.

The Dissolution Act immediately suspended all new redevelopment activities and incurrence of indebtedness and dissolves redevelopment agencies ("RDAs") effective October 1, 2011. The VARP avoids dissolution but requires specified substantial annual contributions to local schools and special districts. If all cities and counties were to opt-in to the VARP, these contributions would amount to \$1.7 billion for FY 2011-2012 and appear intended to amount to \$400 Million in each succeeding year (subject to increasing adjustments annually for the life of the redevelopment project area).

If the City were to opt-in to the VARP, the contribution for FY 2011-2012 would be \$714,756, (subject to potential reduction based on the outcome of an appeal), and is projected to be \$169,374 for FY 2012-2013. Under the opt-in, the City would make the semi-annual payments to the County Auditor-Controller, but could then be reimbursed by the Redevelopment Agency for an amount not to exceed the amount paid to the County. The Agency's property tax increment funds sent to the City under this reimbursement regime would be used for activities "related to" the purposes of redevelopment.

The California Redevelopment Association ("CRA") and the League of California Cities filed a lawsuit in the California Supreme Court challenging the constitutionality of AB X1 26 and AB X1 27. On August 11, 2011, the California Supreme Court announced it would hear the lawsuit, which requests that the Court declare AB X1 26 and AB X1 27 unconstitutional. The court established an expedited briefing schedule designed to facilitate oral argument as early as possible in 2011, and a decision before January 15, 2012.

The Court also issued a partial stay regarding suspension of the effectiveness of AB X1 26 and AB X1 27 until it can rule on the constitutionality of these two bills. The Court allowed the first statute to remain in effect insofar as it precludes existing redevelopment agencies from incurring new indebtedness, transferring assets, acquiring real property, entering into new contracts or modifying existing contracts or entering into new partnerships, adopting or amending redevelopment plans, but it stayed enforcement of both statutes in all other respects. On August 17, the Court modified its stay to clarify that the statute requiring the EOPS was to also remain in effect. Due to this modification, the Agency must adopt an EOPS listing all enforceable obligations that would need to be paid for the months following the adoption of the EOPS through December of 2011 as required by AB X1 26.

The stay does create a conflict in regard to making tax-sharing payments. Tax-sharing obligations are not Enforceable Obligations under the stay. Under the dissolution scheme of AB X1 26 the tax sharing payments are to be made by county auditor-controllers rather than by the redevelopment agencies. With the stay in place there is no legal authorization to make the tax-sharing obligations.

Staff therefore recommends that the Agency Board adopt the attached schedule, which identifies the Agency's enforceable obligations, and direct Agency Staff to comply with the reporting and posting requirements of the EOPS statute.

ALTERNATIVE ACTIONS

Other actions as determined by the Redevelopment Agency Board.

FISCAL IMPACT

No fiscal impact as a result of this item.

ATTACHMENTS

Enforceable Obligation Payment Schedule